Note 8. Income Taxes

The components of income before income taxes were as follows:

	Year Ended December 31,		
	2015	2014	2013
United States	$ (80,136)	$ 105,447	$ 128,482
Foreign	(3,291)	(1,864)	(2,017)
Total Income before Income Taxes	$ (83,427)	$ 103,583	$ 126,465

The provision for income taxes consisted of the following:

	Year Ended December 31,		
	2015	2014	2013
Current			
Federal	$ (14,088)	$ 34,615	$ 43,159
State	(975)	5,614	6,637
Foreign	133	135	120
Total Current	(14,930)	40,364	49,916
Deferred			
Federal	(9,276)	(22)	(745)
State	(2,788)	(130)	(101)
Foreign	—	—	—
Total Deferred	(12,064)	(152)	(846)
Total Provision for Income Taxes	$ (26,994)	$ 40,212	$ 49,070

The reconciliation of significant differences between income tax expense applying the federal statutory rate and the actual income tax expense at the effective rate are as follows:

	Year Ended December 31,					
	2015		2014		2013	
Income Tax Expense at Federal Statutory Rate	$(29,200)	35.0%	$36,254	35.0%	$44,263	35.0%
(Decreases) Increases:						
State Income Taxes, Net of Federal Income Tax Benefit	(2,401)	2.9%	3,711	3.6%	4,146	3.3%
Valuation Allowance	210	(0.2)%	458	0.4%	498	0.4%
Foreign Operations	1,075	(1.3)%	329	0.3%	328	0.2%
Non-deductible penalty	3,887	(4.7)%	—	—%	—	—%
Other	(565)	0.7%	(540)	(0.5)%	(165)	(0.1)%
Total	$(26,994)	32.4%	$40,212	38.8%	$49,070	38.8%

Note 8. Income Taxes – (continued)

The tax effects of temporary differences that result in significant portions of the deferred tax accounts are as follows:

	December 31,	
	2015	2014
Deferred Tax Liabilities:		
Prepaid Expenses and Other	$ (1)	$ (77)
Depreciation and Amortization	(20,367)	(16,900)
Total Gross Deferred Tax Liabilities	(20,368)	(16,977)
Deferred Tax Assets:		
Stock-Based Compensation Expense	3,794	3,785
Reserves and Accruals	9,825	4,296
Employee Benefits	1,034	15
Inventory Reserves	10,699	1,606
Inventory Capitalization	4,457	5,582
Foreign Net Operating Losses	2,433	2,223
Other	966	37
Total Gross Deferred Tax Assets	33,208	17,544
Less Valuation Allowance	(2,433)	(2,223)
Total Net Deferred Tax Assets	30,775	15,321
Net Deferred Tax Asset (Liability)	$ 10,407	$ (1,656)

In both 2015 and 2014, the Canadian operations were in a cumulative loss position. As such, the Company has recorded a full valuation allowance on the net deferred tax assets in Canada. For the year ended December 31, 2015, the valuation allowance increased by $836 primarily as a result of an increase in the Canadian net operating loss that was partially offset by a currency exchange loss of $626. In future periods, the allowance could be reduced if sufficient evidence exists indicating that it is more likely than not that a portion or all of these deferred tax assets will be realized.

As of December 31, 2015 and 2014, the Company had foreign net operating loss carryforwards of $11,797 and $8,577, respectively, which begin to expire in 2030. These net operating losses may be carried forward up to 20 years to offset future taxable income.

The Company made income tax payments of $7,855, $33,281 and $30,154 in 2015, 2014 and 2013, respectively.

The reconciliation of unrecognized tax benefits was as follows:

	Year Ended December 31,	
	2015	2014
Balance at beginning of year	$ 1,232	$ 915
(Decrease) increase based on tax position related to the current year	(180)	430
Increases in tax positions for prior years	—	161
Decreases in tax positions for prior years	(434)	—
Settlements	(11)	—
Lapse of statute	(211)	(274)
Balance at end of year	$ 396	$ 1,232

As of December 31, 2015, the Company had $0.4 million of gross unrecognized tax benefits, $0.3 million of which, if recognized, would affect the effective tax rate. It is reasonably possible that the amount of the unrecognized tax benefit with respect to certain of the uncertain tax positions will increase or decrease during the next 12 months; however, the Company does not expect the change to have a significant effect on its results of operations, financial position or cash flows. As of December 31, 2014, the Company had $1.2 million of gross unrecognized tax benefits, $0.8 million of which, if recognized, would affect the effective tax rate.

The Company files income tax returns with the U.S. federal government and various state and foreign jurisdictions. In the normal course of business, the Company is subject to examination by taxing authorities. The Internal Revenue Service has completed audits of the Company’s federal income tax returns for years through 2009.